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2025 EMEA Private Capital Outlook: Midyear Update

Checking in on our 2025 EMEA private capital predictions

PitchBook is a Morningstar company providing the most comprehensive, most accurate, and hard-to-find data for professionals doing business in the private markets.

2025 outlooks

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Introduction

In December 2024, we provided six predictions in our [2025 EMEA Private Capital Outlook](#). As we approach the midway point of 2025, we are checking in to see how our outlooks are trending. Private markets have experienced a complex landscape marked by liquidity challenges, strategic shifts, and emerging opportunities. Our outlooks cover key themes that we believe will shape activity in 2025.

A tougher dealmaking environment for portfolio companies has lingered in 2025. Interest rates are now flattening and coming down, as the latest rate cycle led to an increasing cost of debt for transactions. This has helped debt providers but has hurt those seeking debt to finance. As a result, strategies such as private debt and venture debt have gained attention. On the flipside, large deals that require substantial amounts of debt tied to elevated interest rates have fallen out of favour.

The ongoing liquidity crunch has been top of mind for market participants. The lack of exits, particularly on the VC side, has provided a challenge for GPs to generate returns for LPs. Companies that were eyeing an IPO in 2025 are likely reconsidering given the fallout from announced US tariffs. Despite PE exits showing greater resilience, fewer distributions flowing back to LPs have given rise to secondaries transactions. Secondaries have emerged as a prevalent topic as investors seek liquidity solutions amid a volatile exit market characterised by uncertainty around valuations.

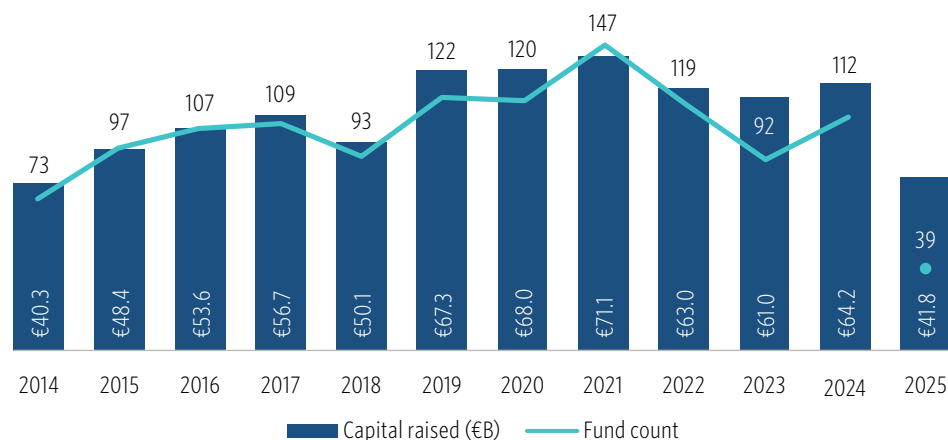
The fundraising landscape has been mixed. PE GPs have closed major middle-market funds and megafunds in recent quarters, pushing towards new records. Within VC, fundraising has been trending downwards since 2022, largely focused on large fund closes from established names. Fewer VC exits are resulting in less capital being recycled into new funding efforts.

Opportunities in sectors and regions persist despite the gloomy outlook. AI is everywhere, and the broadening range of applications is expected to promote activity. Geopolitical tension rages on, and this could create opportunities in lesser-known regional pockets. If unpredictability persists in the US, investors may look elsewhere to allocate capital. However, a precarious global financial ecosystem remains as we move through 2025.

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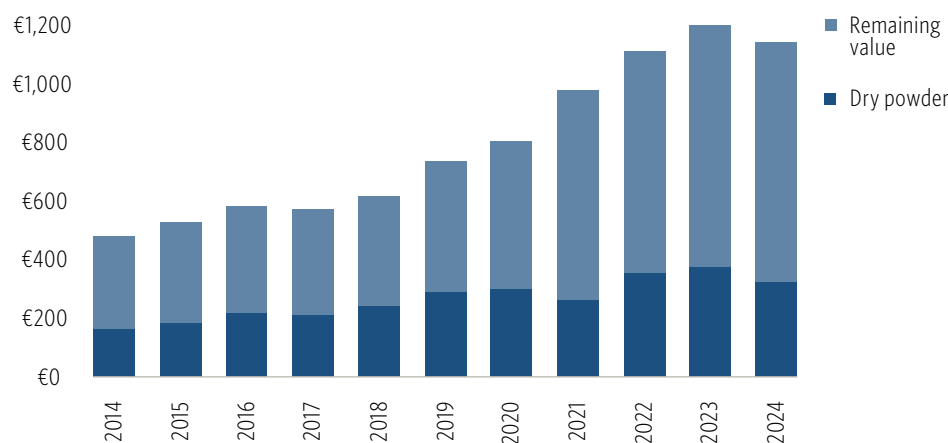
Outlook: European PE middle-market fundraising will return to growth.

PE middle-market fundraising activity



Source: PitchBook • Geography: Europe • As of 31 May 2025

PE AUM (€B) by type



Source: PitchBook • Geography: Europe • As of 30 September 2024

Rationale from December 2024

Middle-market fundraising includes fund sizes between €100 million and €5 billion. These often represent the heartbeat of the PE industry and exclude megafunds, which heavily skew fundraising data. In our series of analyst notes on [The Rise of European Megafunds Part I](#) and [Part II](#), we explain how megafunds have been raising the bulk of the capital in recent years in Europe. As such, we prefer to look at middle-market fundraising to get a more accurate picture of the health of PE. Since peaking in 2021 at more than €70 billion in capital raised, middle-market fundraising in Europe has stalled and failed to surpass its 2021 levels. This was a result of two factors: deteriorating financing due to higher-for-longer interest rates and a muted exit market in which LPs have not been receiving distributions they can reinvest into fundraising. However, we expect 2025 to look much different from the previous

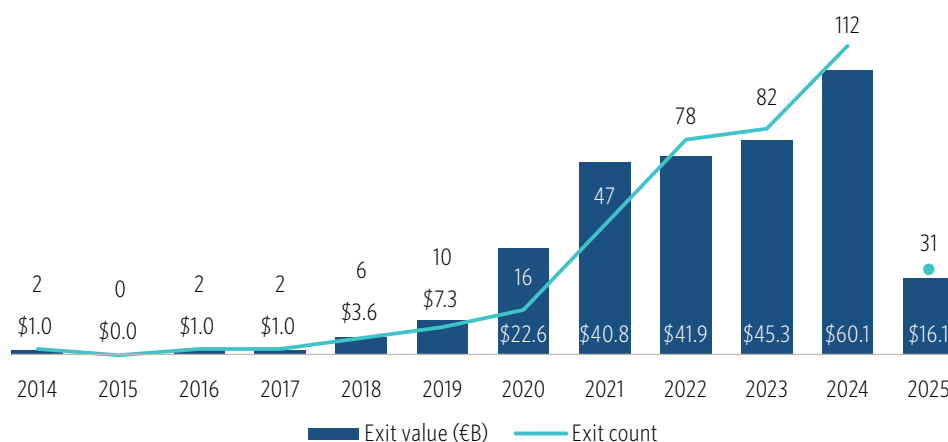
three years, reversing the middle-market fundraising trend back into YoY growth territory and finally surpassing its previous high. Deal activity in Europe recovered in 2024 and grew more than 35% YoY in value. If we extrapolate this growth for middle-market fundraising, we could expect a record year in capital raised across middle-market funds. Monetary easing and favourable economic conditions will be the driving factors behind this recovery in the short term. As for long-term secular trends, we expect PE as an asset class to continue growing its AUM as various new types of investors start allocating to PE.

Midyear update: Outlook is tracking better than expected.

Middle-market fundraising is off to a flying start YTD, accounting for two-thirds of the total capital raised in 2024 in just five months. At the current run rate, 2025 middle-market fundraising could be expected to close €100 billion in new capital, which would be a record year and a 55.9% YoY increase. As expected, the recovery in PE dealmaking seen in late 2024 is beginning to translate into stronger fundraising activity in 2025. Q1 saw notable follow-on funds from CVC Capital Partners, Oakley Capital, Ardian, ICG, and Adelis Equity. Furthermore, Thoma Bravo, the US software buyout specialist, closed its first European-dedicated fund, securing €1.8 billion in Q1. This increased commitment from US PE firms to the European market has served as a key catalyst in accelerating European PE fundraising. Given the direction of travel of interest rates and the resilience seen in dealmaking YTD, we remain confident that middle-market fundraising in Europe in 2025 will surpass last year's levels. That said, potential US tariffs could pose a risk if they lead to a market downturn, prompting LPs to scale back commitments due to the denominator effect from declining public market valuations, as discussed in our note, [The Impact of Tariffs on European PE](#).

Outlook: PE GP-led secondary exits will grow by double digits.

Global PE GP-led secondary exit activity



Source: PitchBook • Geography: Global • As of 31 May 2025

Rationale from December 2024

In the latest cycle of monetary tightening from 2022 to 2024, a correction in market valuations led to a sharper slowdown in exits relative to deals. PE-backed public listings became scarce, sponsor-to-sponsor acquisitions were more expensive to execute due to higher borrowing costs, and corporates were squeezed for cash from the lower valuations and higher financing costs. This led PE sponsors to look elsewhere for exit liquidity, and secondaries emerged as the solution. Better guidelines around structuring GP-led secondary exits to align interests for all parties have also played a significant role, notably with the Institutional Limited Partners Association guidance published in April 2019. GP-led secondary exit value has more than doubled over the past five years, whilst exit counts have risen by even more, from 16 transactions in 2020 to 112 in 2024. In our analyst note, [GP-Led Secondaries](#), we forecast that GP-led secondaries will grow globally at 13.2% per annum in our bull case. This would translate to a GP-led secondary exit value of at least \$66 billion for 2025, and we forecast at least 100 transactions for the year.

Midyear update: Outlook is tracking with some variations.

2024 seemed to be a pivotal year for GP-led secondaries, which increased in popularity and offered liquidity to LPs and GPs alike. This type of transaction went from being relatively opaque for most sponsors to a viable exit solution, allowing sponsors to crystallise on their gains. 2024 finished as a record year for GP-led exits, reaching the upper end of our prediction of \$50 billion to \$60 billion. We have since seen new names dip into GP-leds, such as Ardian and Inflexion. Ardian launched its first-ever continuation vehicle to roll out its investment in Syclef. Inflexion raised the largest multi-asset continuation fund in Europe to date, closing on \$3.05 billion across four assets in May. However, looking at our data YTD and accounting for our growth rate of 13.2% per annum, GP-led exit value is lagging in 2025. There are two potential explanations for this. First, it may be market-driven. The year has been

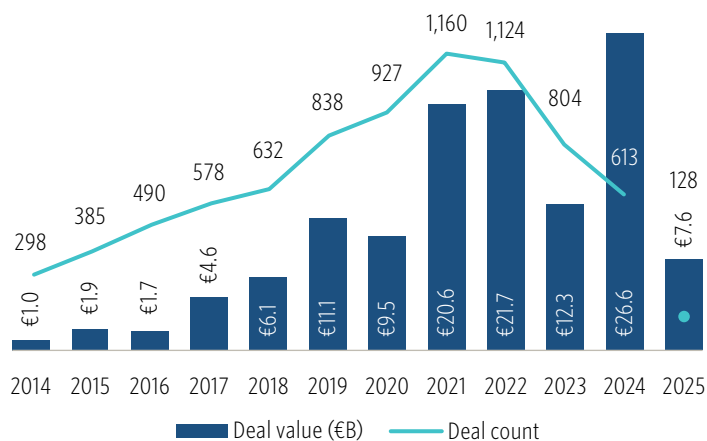
marked by volatility, largely due to the uncertainty surrounding US tariff policy under President Trump. As we highlighted in our note, [The Impact of Tariffs on European PE](#), dealmaking activity was somewhat expected to stall in Q2, with many sponsors adopting a wait-and-see approach. Second, the lag in exit value may be data-driven. As per our methodology, we assign a \$500 million exit value to GP-leds with no known value. This is the case with two-thirds of GP-leds YTD. However, these exits may have been worth significantly more than the default \$500 million we assigned. We continue to expect 2025 to be a strong year for GP-leds, as exits remain top of mind for most sponsors in this current climate.

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Outlook: European venture debt deal value will not match 2024 but will remain an important theme.

Venture debt deal activity



Source: PitchBook • Geography: Europe • As of 31 May 2025

Top 10 venture debt lenders by deal count, 2014–2024

Lender	Deal count
European Investment Bank	158
TriplePoint Capital	129
Bpifrance	123
Kreos Capital	88
SVB Financial Group	67
BNP Paribas	56
Fondation pour l'Innovation Technologique	47
Barclays	46
The FSE Group	40
Western Technology Investment	40

Source: PitchBook • Geography: Europe • As of 31 May 2025

Rationale from December 2024

Venture debt has been a growing asset class and prevalent theme in European venture this year. A record €26.6 billion of deal value occurred in the continent in 2024, as companies opted for cheaper financing, which has recently increased in availability. Whilst the cost of debt is cheaper than equity, other benefits have contributed to its increased usage, such as nondilutive financing, potentially faster access to capital, and extending cash runways through other means in between equity rounds. As discussed in our analyst note [European Unicorns—Modelling Myth or Magic?](#) this also enables a company to raise cash without having to rebase its valuations to current conditions, allowing for valuations to recover between rounds.

Venture debt has, therefore, proved popular amongst venture-growth players, with nearly two-thirds of deal value raised by such companies. These firms have had the scale and cash generation to take on debt but also require significant amounts of capital to grow further, which may prove more challenging if financed through equity. Deal value in 2024 was buoyed by six megadeals (value of more than €1 billion), which composed half of 2024 deal value. The most prolific user of venture debt, Northvolt, also demonstrated the risks associated with the strategy, with the company amassing more than €4.5 billion of debt before declaring bankruptcy in November.

Therefore, whilst we think venture debt will remain an important and growing theme in the European venture ecosystem, we do not think deal value in 2025 will surpass 2024. The absence of larger players such as Northvolt is a factor. However, more

broadly, companies that raised financing in 2024 are unlikely to come back to the cap table in 2025 when the term loan for such instruments occurs over several years. Firms could refinance debt amidst the lower-rate environment expected next year, but we believe new issuance is unlikely to eclipse the levels seen in 2024. Any YoY growth in 2025 would imply that deal value levels could reach 2021/2022 heights, which we see as more of an anomaly than a trend. Furthermore, as we expect IPO markets to open next year, venture-growth players may opt to return to equity markets rather than debt. We suspect several companies would have undergone IPO due diligence over the last 12 to 24 months but did not pull the trigger because of unfavourable market conditions.

Midyear update: Outlook is tracking as expected.

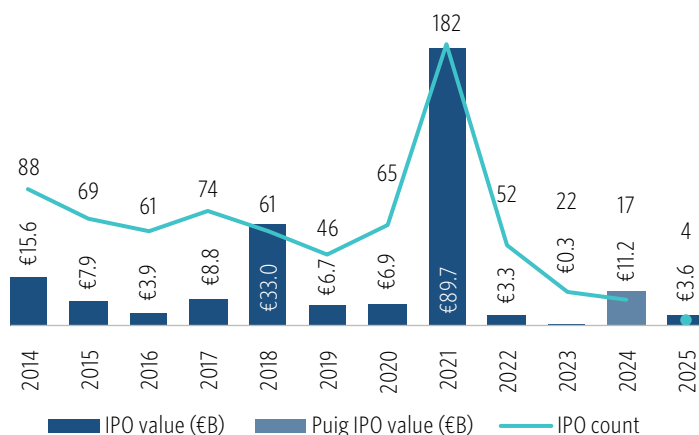
As of 31 May 2025, venture debt deal value and volume are in line with our expectations for a more muted year of activity in 2025. YoY, the current run rates of activity so far imply a 31.5% and 49.9% decline in value and volume, respectively, with increasing deal sizes supporting value metrics. In absolute terms, €7.6 billion was raised in the asset class over 128 deals. Average deal sizes, therefore, increased, with the top three deals sitting close to or above €1 billion. These all sat in Sweden, the highest being €1.4 billion refinanced by United Petfood, €1 billion raised by car rental subscription service FINN, and €898 million raised by UK financial technology company Capital on Tap. By stage, venture growth still comprises the lion's share, at two-thirds of deal value, with the late stage also increasing share, to 18% of value from 6% in 2024.

By lender, the top three names by number of all-time deals stayed the same. There was some movement elsewhere, with BNP Paribas adding 20 deals to its 10-year count and Barclays moving up from tenth to seventh place, with 10 historical deals added. There were some new names in the top 10 as well, such as US VC firm Western Technology Investment, with a heavy skew towards venture debt funds, which closed nine deals in Europe over the past year. Looking at the top lenders' deal activity so far in 2025, volumes are sparse compared to 2024. However, outside of a supply perspective, demand for debt may be supported by more uncertainty in equity markets and a muted environment for IPOs (as discussed below). Nevertheless, it remains likely that activity in 2025 will not surpass last year's levels.

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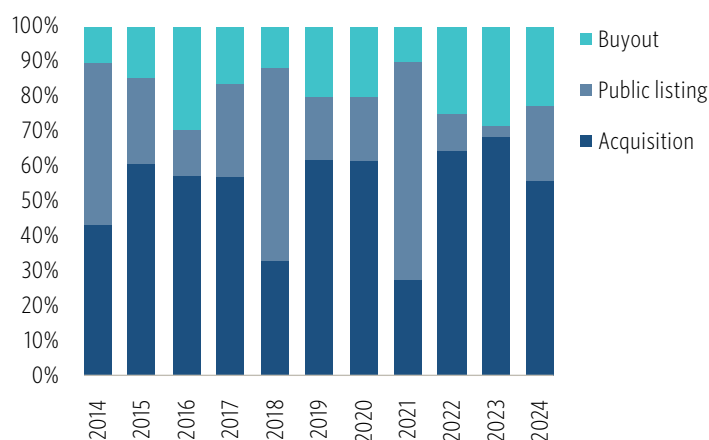
Outlook: VC-backed IPOs will have a concentrated recovery.

VC exit activity with Puig breakout



Source: PitchBook • Geography: Europe • As of 31 May 2025

Share of VC exit value by type



Source: PitchBook • Geography: Europe • As of 31 May 2025

Rationale from December 2024

In early 2024 we outlined our [outlook for the European IPO market](#). Since then, our thesis has somewhat played out, with the VC-backed listing space producing more of a vent than a window through 2024 but with activity warming in the second half of the year. IPO exit value amounted to €11.2 billion in 2024. We have also previously noted that Puig's IPO composed most of this value, as the Spanish luxury brand's exit size was €10.9 billion. It is evident, therefore, that the broader market is not recovering as headline exit activity would suggest because only a few smaller listings have emerged. However, the factors we outlined as "handles" to open a window appear to have largely aligned through the second half of 2024 to provide a more favourable backdrop for listings in the new year. These include interest rates, valuations and share price performance, geopolitics, company-specific fundamentals, and profitability.

Whilst the recovery in Europe has been concentrated, it is still important not to dismiss activity from larger transactions. Such may skew the data but are important for venture asset class returns and providing liquidity for LPs levered into European investments. Looking into 2025, we expected the recovery would continue to be concentrated. Klarna was the most obvious example, where the company filed for an IPO in the US. Whilst Klarna would not list on a European exchange, large listings need to occur to give confidence to venture stakeholders that the industry's liquidity and returns are improving. It is also important to note that a rising tide would lift all boats and instil confidence in other European market participants to list. Whether or not that translates to activity on European exchanges remains to be seen, but ultimately, we believe market conditions and a healthy pipeline are favourable for 2025's IPO exit value to supersede 2024's.

Midyear update: Outlook is not tracking with some variations.

Unforeseen volatility from geopolitics has dominated financial markets and listings since the start of the year. Our thesis for an IPO window, [published earlier this year](#), was predicated on five “handles” aligning towards the end of last year. One of those was geopolitics, where significant political events in Europe and the US (namely elections) had somewhat run their course and volatility and valuations had aligned to a sweet spot for listings activity to pick up. Whilst we acknowledge geopolitics to be a crucial pillar to our thesis, it was not possible to foresee the extent of impact Trump’s “liberation day” would have, the level and tone of tariffs the US government set out to implement, or the volatile nature of policy. We are, therefore, [less optimistic about an IPO window in 2025](#). We believe this year is likely to look like 2024, during which a few names came to market, but listings struggled to generate meaningful value and volume.

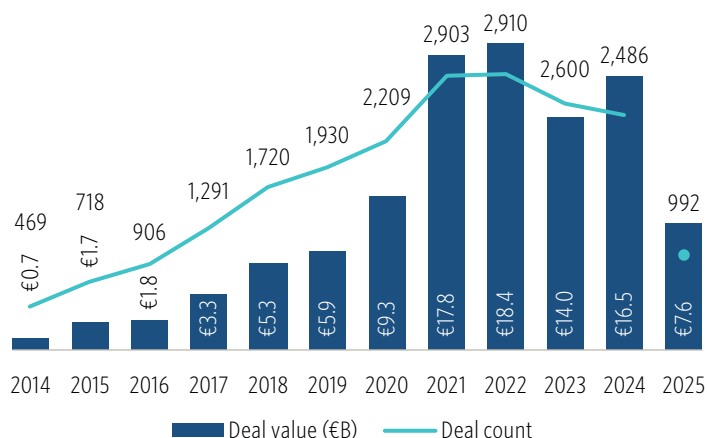
Despite a less optimistic view, however, there are some puts and takes to IPO activity in Europe so far in 2025. €3.6 billion of listings have been generated over just four exits, leading to a concentrated level of activity. YoY, this could also be deemed somewhat of a recovery, as despite €11.2 billion of value last year, nearly all of that (€10.9 billion) was generated from the listing of Puig. Stripping Puig out, therefore, implies a significant uptick in activity YoY, although overall it should still be noted that numbers are small.

The recent events in financial markets also do not bode well for the rest of the year in Europe, but several firms in the US have powered through uncertainty and chosen to IPO (including Coreweave, Hinge Health, and the Circle Group) despite valuations in Europe showing more resilience than in the US. Israeli firm eToro, which is included in our European data, also listed in the US in May. This is also a consideration moving forward, if more nationalistic policy and negative sentiment continues around the US market, whether financial stakeholders continue to adopt a more domestic approach. Overall, whilst our expectations appear to be partially playing out during the first half of this year, we continue to be cautious as to whether this will be the case by the end of 2025. Key listings such as Klarna, which could potentially list by the end of 2025, may swing activity to be more in line with our outlook. Previous candidates, such as SHEIN, have withdrawn from the UK after not receiving approval from Chinese regulators. Visibility remains low, and there are many factors that could sway activity either way in 2025. We believe risks to our outlook are still skewed to the downside.

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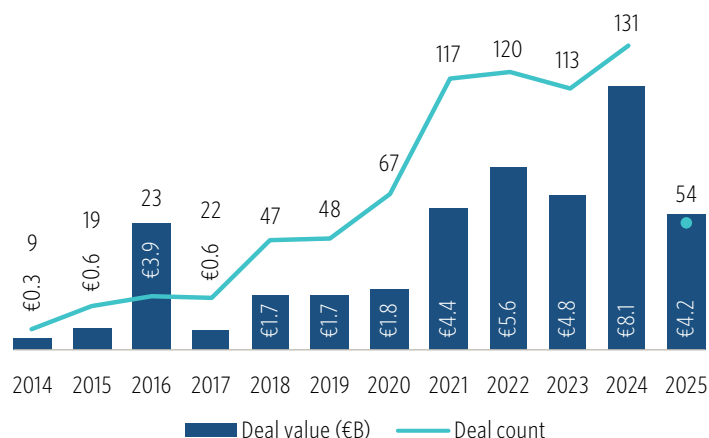
Outlook: AI investment will remain front and centre across Europe with new records likely.

AI & ML VC deal activity



Source: PitchBook • Geography: Europe • As of 31 May 2025

AI & ML PE deal activity



Source: PitchBook • Geography: Europe • As of 31 May 2025

Rationale from December 2024

AI has been talked about extensively across regions, sectors, and asset classes in 2024. Tech giants are investing in the space, established companies are leveraging AI to drive efficiency, and new startups are increasingly aligning themselves to AI in creative ways. Multiple use cases have been highlighted across everyday life for businesses and consumers. It has been challenging to avoid the frenzied attention AI has garnered, so we expect investment to be strong in 2025 and anticipate new PE and VC deal activity records will be set in Europe. Not only are companies competing, but also countries and continents are vying to become AI powerhouses and drive innovation for future generations. European governments and bodies have recognised the role large US tech companies have had in powering growth for several years via stock market returns, investment into local ecosystems, and job creation. Therefore, we expect a renewed focus on Europe developing its own tech behemoths.

The speed of development is another consideration for new records to be set in the AI space. US-based OpenAI raised €5.9 billion in 2024 and is valued at a staggering €141.3 billion, roughly five times its €26.4 billion valuation in 2023.¹ There is no doubt AI companies are hot at the moment, but it is the rapid progress they are showing that is driving up figures. Another example is France-based Mistral AI, which was founded in 2023 and became a unicorn a year later and now possesses a €6 billion valuation after a €600 million round in 2024. We expect more of these stories to emerge in 2025 as capital deployment in the AI industry intensifies.

¹: Since our original outlook, OpenAI has gone on to reach a €277.7 billion valuation in 2025.

Midyear update: Outlook is tracking as expected.

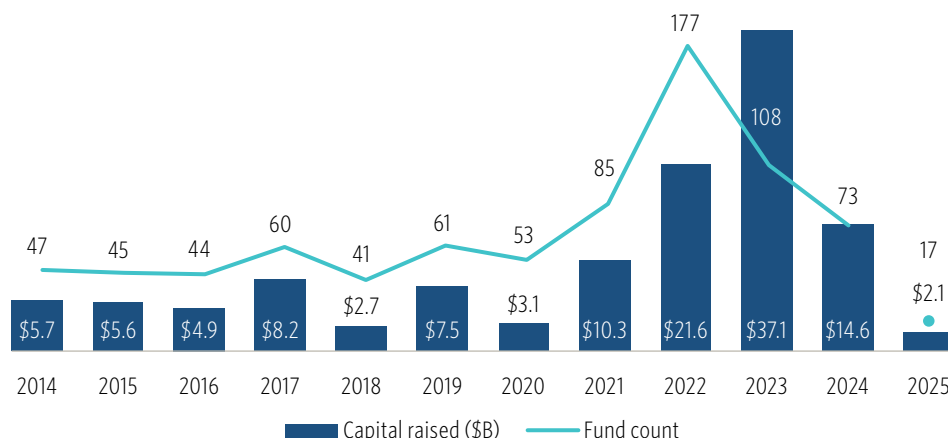
€7.6 billion and €4.2 billion were invested in VC and PE AI deals, respectively, in the first five months of the year. The current run rate puts new records in sight, but further dealmaking at a similar pace throughout the year will be required. One transaction lifting the total in 2025 YTD was the €1.4 billion buyout of UK-based AI content creation business Metaphysic. Another notable deal involved Google DeepMind's drug discovery spin-off, Isomorphic Labs, which raised €536 million. Contrasting industries such as video content and drug discovery highlight how AI is impacting multiple use cases and attracting capital.

Europe's AI industry is experiencing significant growth, driven by strategic investments and technological advancements. Areas such as infrastructure linked to energy consumption of power-thirsty data centres and the advancement in semiconductor development provide further opportunities. Policy and regulation changes are evolving too, including the EU's Artificial Intelligence Act. Overall, the current AI boom is being labelled as a revolutionary leap akin to the introduction of the internet or the smartphone era.

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Outlook: MENA private market fundraising will develop as capital flows into the region remain strong.

MENA private market fundraising activity



Source: PitchBook • Geography: MENA • As of As of 31 May 2025

Rationale from December 2024

The growing influence of capital sources originating from the Middle East and North Africa (MENA) region has been touted for several years, and we believe this will continue in 2025. As of 30 November 2024, private market fundraising reached \$14.6 billion, and we anticipate this figure will grow in 2025. Capital raised by MENA-based funds exceeded \$20 billion for the first time in 2022 and grew to \$37.1 billion in 2023. Whilst fundraising dipped in 2024, we expect a rebound above \$20 billion in 2025. The growth will be largely driven by the development of fund managers targeting different asset classes, local regional tech ecosystems, and the progression of capital market usage in the region. Moreover, we feel favourable tax and pro-business policies will entice more individuals, corporations, and investors to commit capital to the area.

Diversification of revenue streams, leveraging government support, and developing partnerships with experienced investors are priorities for nations in the Middle East. As a result, funds are cropping up in a range of sectors, including real assets, green energy, tourism, and IT. Fundraising activity will be reinforced by a combination of domestic and international LPs, as well as substantial government resources. Numerous initiatives, such as the ambitious Saudi Vision 2030, are resulting in copious amounts of investment across sectors. Various projects are underway in healthcare, infrastructure, logistics, entertainment, real estate, and finance. We expect these elaborate plans will keep capital flows elevated and investment parties interested in raising funds in the region.

Midyear update: Outlook is not tracking as expected.

Only \$2.1 billion has been raised across 17 funds in the MENA region YTD. Therefore, a significant uptick in fundraising will be required to reach our \$20 billion outlook figure. Whilst fundraising has been quiet so far this year, historically, we have seen

that a small selection of large fund closures can rapidly skew figures. Moreover, as sectors such as tech, healthcare, and energy present investment opportunities, we could see funds emerge. Nonetheless, macroeconomic uncertainty is weighing on global private market fundraising, with figures down since peaking in 2021. Pressure on fundraising has been caused by muted exits, tougher financing conditions, and unfavourable market conditions. Once greater clarity around conflicts and tariff-related uncertainty is evident, we could see global capital flows open up.